The Burnham plan and the State Pension triple lock

What replacing the triple lock from 2030 would save and who would be affected, from full PolicyEngine UK runs[*]

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Abstract

The Burnham plan (DWP's adjusted triple lock) would from April 2030 raise the State Pension by at least the higher of CPI and 2.5%, topped up only to keep its 2029-30 value relative to earnings. We cost it against the triple lock with full PolicyEngine UK runs on 50,000 paths of prices and earnings centred on the OBR's forecast. The expected saving in 2039-40 is £11.1bn in State Pension spending and £7.9bn after tax and benefits; reweighting to past volatility gives £8.7bn to £12.0bn. The OBR's central forecast alone gives £0.9bn, because the plan saves only after years when prices or the floor beat earnings. DWP's single-path figure is £15bn for Great Britain. About 27% of households, nearly all with a pensioner, have less income; on a typical path, pensioner poverty after housing costs is up to 0.8 points higher. Results are provisional until the October 2026 Budget.

Keywords: pension indexation, triple lock, microsimulation, forecast uncertainty, stochastic simulation, public finances
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1 Introduction

Since April 2011 the triple lock has raised the State Pension each April by the highest of prices, earnings growth and 2.5% (prices measured by RPI in its first year and by CPI since). Because it takes the highest of three figures every year, a year in which prices or the floor run ahead of earnings raises the pension for good, and later rises build on the higher level. The OBR's long-term projections assume that the triple lock raises the pension 0.6 percentage points a year faster than earnings (Office for Budget Responsibility, 2026d), and it estimates that by 2029-30 the triple lock will have added £15.5 billion a year to spending relative to earnings uprating since 2012 (Office for Budget Responsibility, 2025).

On 29 September 2026 the Prime Minister said he would keep the triple lock until 2030 and then change it, so that the pension rises every year by at least prices or 2.5% and "will hold its value relative to earnings over time" (BBC News, 2026). DWP's analysis published the same day calls the rule the adjusted triple lock: from April 2030 "In any given year it will go up by at least inflation or 2.5% – and anything more that is needed to retain that value" (Department for Work and Pensions, 2026b). We call it the Burnham plan.

This paper asks what the Burnham plan would save against the triple lock (current law), and who would bear the difference. It makes three contributions. First, it shows that the saving depends on how prices and earnings move from year to year, not only on their averages: the plan saves money only after years in which prices or the floor beat earnings, so a costing on one smooth central path, which has almost no such years, finds almost no saving. Second, it costs the plan over many possible paths with full microsimulation runs of the whole survey population, so that every figure includes the response of income tax, Pension Credit and other benefits. Third, it sets out how much the answer depends on the model of prices and earnings, and reconciles it with DWP's and the OBR's figures.

On the model's paths the plan saves £11.1bn in State Pension spending in 2039-40 on average, and £7.9bn after tax and benefits respond. Reweighting the same paths to past volatility moves the gross figure between £8.7bn and £12.0bn; that uncertainty about the model is much larger than the sampling error of the estimate. On the OBR's central forecast alone the saving is £0.9bn. The cost to households falls almost entirely on pensioners, with Pension Credit and income tax making up part of it.

The closest precedent is the Institute for Fiscal Studies' simulation of the triple lock's cost from past inflation and earnings (Cribb et al., 2023), which also treats the triple lock's cost as depending on the paths of inflation and earnings rather than one central path. We apply the same idea to a specific replacement rule, with full tax-benefit runs rather than spending alone.

Section 2 sets out the two rules, how we read DWP's definition and where the saving comes from. Section 3 gives the saving, its uncertainty, single scenarios and other published costings. Section 4 follows both rules along the OBR's forecast and simulated paths. Section 5 turns to households. Section 6 describes the method and the test on past forecasts, Section 7 its limitations, and Section 8 concludes.

2 The triple lock and the Burnham plan

2.1 The two rules

Under the triple lock the full basic and new State Pension rise each April by the highest of three figures: the CPI 12-month rate for the previous September (Office for National Statistics,

2026c); growth in average weekly earnings, whole-economy total pay, in May to July of the previous year (Office for National Statistics, 2026b); and 2.5%. ONS publishes both inputs to 0.1 point, and both rules here use them at that precision.

The Burnham plan follows the triple lock to April 2029. From April 2030 let L_t be the pension's level and A_t an earnings path that starts at the 2029-30 level and grows with May–July earnings, $A_t = A_{t-1}(1 + e_{t-1})$. Then

$$L_t = \max\big(L_{t-1}\,(1 + \max(c_{t-1}, f)),\ A_t\big),$$

where c is September CPI, e is May–July earnings growth and f is the 2.5% floor. The pension never rises by less than the higher of CPI and the floor, and never falls below its earnings path. In April 2030 this rise equals the triple lock's, since the earnings path starts at the same level, so the two rules can first differ in April 2031 and 2030-31 saves nothing on any path. As a modelling assumption we round any top-up to the earnings path up to the next 0.1 point, so the pension never ends below that path; this favours the pensioner by at most 0.1 point a year.

The law requires only that the basic and new State Pension rise at least in line with earnings (Social Security Administration Act, 1992); the prices leg and the floor are policy on top. In a year when the plan rises by the higher of CPI and the floor while it falls back towards its earnings path, its rise is below earnings growth, which section 150A does not allow. The plan would therefore need primary legislation, as the suspension of the earnings leg for April 2022 did (Social Security (Up-rating of Benefits) Act, 2021). On the model's paths this happens in 39% of the Aprils from 2031 to 2039.

2.2 How we read DWP's definition

DWP does not set out the rule as a formula, so three choices are ours. First, the plan anchors to the pension's ratio to earnings in 2029-30 and never moves that anchor. DWP's definition, which ends "to retain that value", names the value in brackets as "the 2029-30 ratio to earnings", and says the pension reaches "a record high relative to earnings over the coming three years" (Department for Work and Pensions, 2026b). A different reading, in which the anchor moves up whenever prices or the floor push the ratio to a new high, would reproduce the triple lock exactly and save nothing. Second, the plan uses the triple lock's measures: September CPI and May–July earnings. Third, the top-up is rounded up, as above. The saving rests on the first choice.

2.3 Where the saving comes from

When earnings lead, both rules give the same rise. The rules part only after a year in which the higher of CPI and 2.5% beats earnings. Both pay that higher figure, but it lifts the plan above its earnings path. When earnings lead again, the triple lock rises with earnings from the higher level, while the plan rises only by the higher of CPI and the floor until its earnings path catches up. The triple lock keeps each such gain for good; the plan gives it back over time.

A two-year example shows the arithmetic. Suppose CPI is 6% and earnings growth 2% in the first year, then CPI 2% and earnings 4%. The triple lock rises by 6% and then 4%, 10.2% in all. The plan also rises by 6% in the first year, which leaves it above its earnings path, and then by the floor, 2.5%, 8.7% in all. The plan ends 1.5% below the triple lock.

So the saving depends on how often the lead passes from earnings to prices or the floor and back. Each April's triple-lock rise is the largest of its inputs, a convex function of them, so its average over uncertain inputs exceeds its value at the average inputs (Jensen's inequality). The plan does not keep that excess, so every such year can only add to the saving.

2.4 The triple lock since 2011

Figure 1 shows the rises actually paid in each April from 2011 to 2026. April 2011's rise, 4.6%, was set by RPI under that year's up-rating order (Social Security Benefits Up-rating Order, 2011), while the replay of the CPI rule gives 3.1%. From 2012, CPI set the rise five times, earnings six times and the floor four times. In April 2022 the law suspended the earnings leg, whose input was 8.4% on today's figures, so that year's rise was CPI, 3.1% (Social Security (Up-rating of Benefits) Act, 2021). Over the 16 rises the pension rose by 89.4% as paid.

The rest of this section replays the rule on today's revised ONS figures, so that the triple lock and the plan see the same inputs. The replay differs from the rise paid in April 2016, 2019, 2020, 2025 and 2026, by 0.1 to 0.3 point, because earnings figures have since been revised, and in April 2011. On the replay the pension rose 87.6%, against 66.3% for earnings alone and 60.2% for prices alone, which leaves it 12.7% above where an earnings link alone would have taken it.

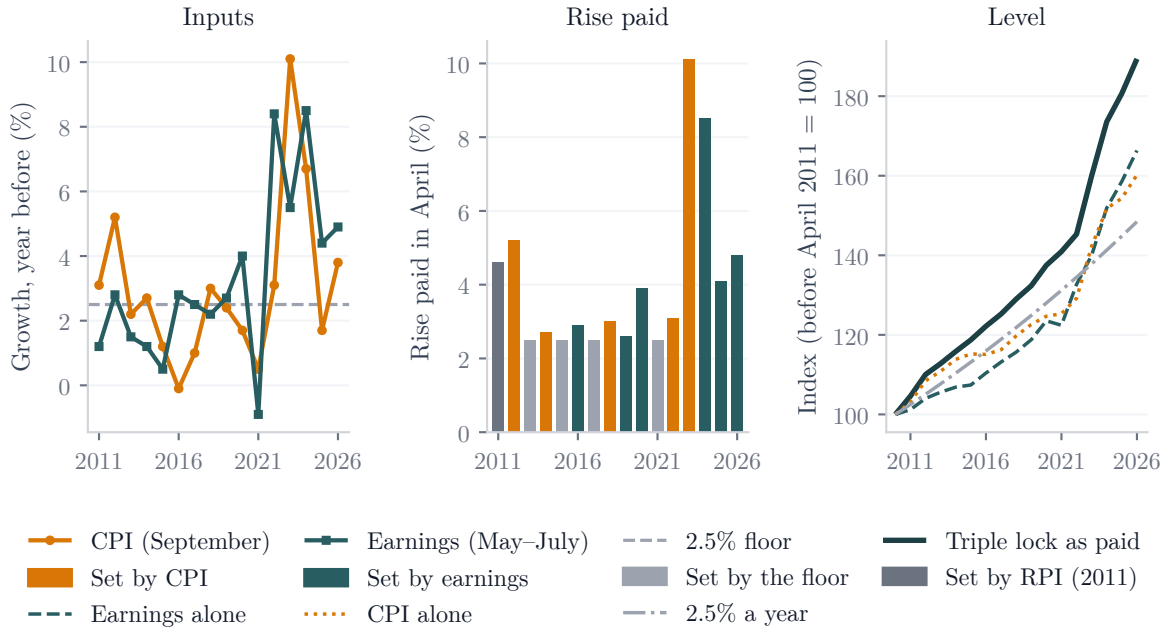


Figure 1: The triple lock since 2011: the rises paid, and a level that ended well above earnings alone. Left: September CPI and May–July earnings growth in the year before each April (today's ONS figures), and the floor. Centre: the rise paid, coloured by the figure that set it. Right: the level as paid, against earnings alone, CPI alone and the floor alone.

2.5 If the plan had started earlier

The same comparison can be run backwards on the replayed inputs. Had the Burnham plan started in April 2012, 2013, 2014 or 2015, its level in 2026-27 would be 6.3% below the triple lock's

on the same inputs (Figure 2). Applied to the full new State Pension actually paid, £12,548 a year, that would be £11,758. Most of the difference follows April 2023, when September CPI of 10.1% set a rise far above earnings growth of 5.5%. Started in April 2024, 2025 or 2026, the plan would have paid the same as the triple lock every year. In full model runs, State Pension spending in 2026-27 would have been £7.3bn lower, and the government £5.2bn better off once tax and benefits respond.

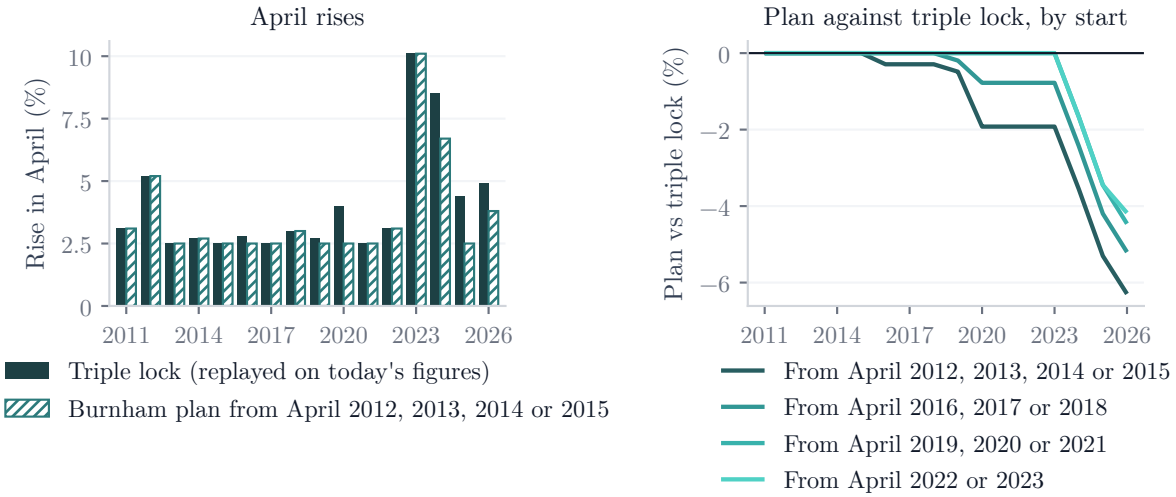


Figure 2: Had the plan started earlier, the pension would now be lower, mostly because of one inflation spike. Left: the April rises under the triple lock and under the plan from the earliest start that changes anything (hatched), both replayed on today's figures. Right: the plan's level against the triple lock's, by start year.

3 What the plan would save

3.1 The expected saving

Figure 3 shows the saving each year across the model's paths, and Table 1 the average. The plan saves nothing in 2030-31, by construction, and the first expected saving, in 2031-32, is £0.2bn, so almost nothing falls within a five-year Budget forecast. The saving then grows each year. In 2039-40 the expected saving is £11.1bn in State Pension spending, 4.6% of spending on the basic and new State Pension, and £7.9bn once income tax and benefits respond. Of the gross saving, extra Pension Credit offsets £0.6bn, lower income tax £2.5bn and extra Housing Benefit £0.1bn. In 2026-27 prices, deflated by CPI on the OBR central forecast, the gross saving in 2039-40 is £8.6bn. Summed over 2030-31 to 2039-40 the expected saving is £44bn gross and £32bn net, in cash. By 2039-40 the full new State Pension is £931 a year lower under the plan on average (£17.91 a week).

3.2 How uncertain it is

Three kinds of uncertainty differ greatly in size. The smallest is sampling error: the standard error from running 160 of the paths in full is £0.07bn gross and £0.05bn net in 2039-40 (Table 1).

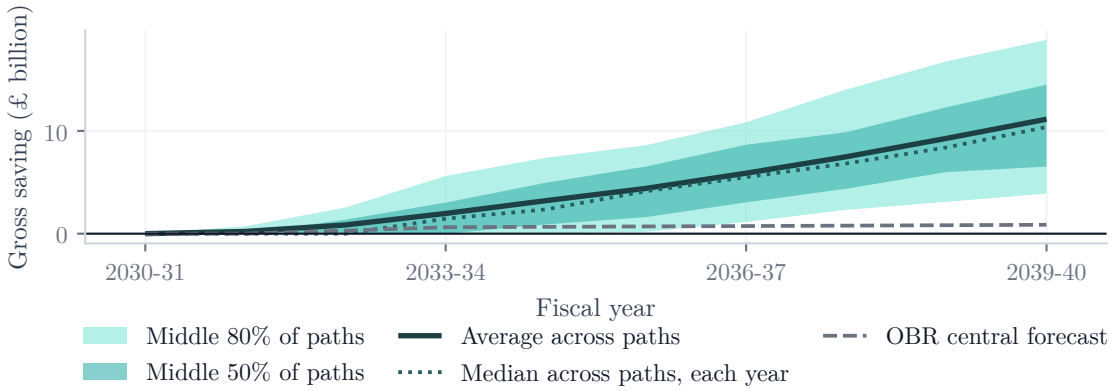


Figure 3: The average saving grows every year and is far above the saving on the OBR's central forecast; the paths spread widely. Gross saving from the Burnham plan against the triple lock, in State Pension spending, by fiscal year: the average across the model's paths, the median and the middle 50% and 80% of paths in each year, and the OBR central forecast.

In the final year it is smaller still, because the gross saving there is exactly proportional to the gap in the full new State Pension, which is known for all 50,000 paths (Section 6.3).

The second is the spread across the model's paths. In 2039-40 the middle 80% of paths save between £3.9bn and £18.9bn gross, and between £2.7bn and £13.4bn net. That is a model-conditional 80% interval: it describes the model's paths and holds only if the model is right.

The third, and the largest for the expected saving, is the model itself. The paths match the OBR's average forecast but keep the model's own year-to-year variation. They can instead be reweighted so that the variation of the gap between earnings and CPI, how often the lead changes and, in some versions, how often the floor sets the rise, match a past period (Robertson et al., 2005). Over the 12 reweightings in Table 8 the expected gross saving in 2039-40 runs from £8.7bn to £12.0bn, and the net saving from £6.1bn to £8.5bn, against £11.1bn and £7.9bn for the paths as they are. Matching the period from 2001 gives lower figures, probably because the lead changed hands less often in its first decade; matching the period from 2010 gives figures close to the headline. We compute these figures from the reweighted average gap over all the paths. Reweighting the 160 full runs directly gives figures as low as £5.6bn, but the reweightings that use fewer than 100 effective runs are unstable, and their figures fall outside the range the full set of paths implies.

We keep the paths as they are for the headline. On 12 past OBR forecasts the reweighted paths were more biased than the paths as they are (−0.35 against 0.20 points in the four-year gap between the rules, standard errors about 0.5), though with a smaller average error (Table 9). Neither difference is decisive.

3.3 Why the OBR's central forecast saves little

The OBR's central forecast is one smooth path. On it earnings beat CPI and the floor in almost every year after the switch, so the two rules give nearly the same rise and the plan saves £0.9bn in 2039-40 (£0.6bn net). Real years are bumpier. Whenever inflation spikes or earnings growth dips, the triple lock keeps the higher rise and the plan does not, and since the saving can never be negative, every such year adds to it. That is why the average over many paths is far above

Table 1: The expected saving by fiscal year, £ billion, with Monte Carlo standard errors (SE).

Year	Gross (£bn)	SE (£bn)	Net (£bn)	SE (£bn)	Gross, 2026-27 prices (£bn)
2031-32	0.22	0.06	0.16	0.04	0.20
2032-33	0.85	0.12	0.61	0.09	0.76
2033-34	1.97	0.19	1.41	0.14	1.71
2034-35	3.21	0.22	2.30	0.16	2.74
2035-36	4.41	0.24	3.16	0.17	3.69
2036-37	5.89	0.26	4.20	0.18	4.83
2037-38	7.48	0.23	5.33	0.16	6.02
2038-39	9.27	0.19	6.57	0.13	7.31
2039-40	11.14	0.07	7.86	0.05	8.61
Total, 2030-31 to 2039-40	**44.4**		**31.6**		

Note: Real terms: the gross saving deflated by CPI on the OBR central forecast. The plan saves nothing in 2030-31 on any path. Runs are grouped by the final-year gap, so the standard error is smallest in that year.

the saving on the average path.

Past forecasts bear this out. On the 12 OBR forecasts from 2010 to 2021, the OBR's own central path implied that the triple lock would open an average gap of 0.12% over the plan after four rises; on what happened, with April 2022 as the law applied it, the gap was 0.98% (Table 9). The model's paths predicted 1.19%, over-predicting the realised gap by 0.2 points with April 2022 as in law, but under-predicted it by 0.6 points on the published earnings for April 2022, when the realised gap was larger; the sign of the model's error depends on how that year is scored, while the OBR's central path fell short under both. The forecasts overlap, so these are only 12 loosely independent checks.

3.4 Single scenarios

Table 2 sets the expected saving beside four scenarios, each run in full under both rules. Two are single runs. One is the OBR central forecast. The other keeps the central forecast's inputs but sets the triple lock's rise to the OBR's long-term assumption, earnings growth plus 0.6 points once the floor stops binding, and applies the plan's rule to the same inputs. It saves £10.3bn, close to the expected saving, and on our paths the triple lock outpaces May–July earnings by 0.55 points a year over the April rises of 2034 to 2039, close to the OBR's assumption (Office for Budget Responsibility, 2026d). So the OBR's own long-term assumption about the triple lock already implies a saving of this size; the £0.9bn on its central path is the exception.

The other two scenarios take the simulated paths behind the expected saving and move calendar-year earnings growth 0.5 points a year lower or higher from 2031. Lower earnings growth makes the 2039-40 saving £0.7bn smaller (95% interval ± £0.5bn, so outside Monte Carlo error); higher earnings growth makes it £0.1bn smaller (± £0.5bn, within it). Our reading of this is that the saving needs the lead to change hands, which happens most often when earnings growth is close to the higher of CPI and the floor; a shift either way moves them apart. Lower earnings growth also makes the pension, and so the cash saving, smaller. The results file does not record how often the lead changes under these scenarios, so we cannot show

this directly. The scenarios are named cases, not a range for the saving.

Table 2: The expected saving and single scenarios, £ billion.

Scenario	Run	2034-35 gross (£bn)	2034-35 net (£bn)	2039-40 gross (£bn)	2039-40 net (£bn)
Paths as they are (expected saving)	path average	3.2 ± 0.4	2.3 ± 0.3	11.1 ± 0.1	7.9 ± 0.1
OBR central forecast	single run	0.7	0.5	0.9	0.6
Triple lock at earnings + 0.6 points (OBR long term)	single run	3.2	2.3	10.3	7.3
Earnings −0.5 points from 2031	path average	2.8 ± 0.5	2.0 ± 0.3	10.4 ± 0.5	7.4 ± 0.4
Earnings +0.5 points from 2031	path average	3.5 ± 0.4	2.5 ± 0.3	11.0 ± 0.5	7.7 ± 0.4

Note: Single runs have no Monte Carlo error; path averages show ±1.96 standard errors.

3.5 Other costings

DWP costs the plan at £15bn in 2039-40 in cash terms (£11bn in 2025-26 prices) (Department for Work and Pensions, 2026b). Its figure is direct spending for Great Britain, from one uprating path that it does not state, projected with its dynamic microsimulation model of the population and contribution records. Our like-for-like figure is the gross saving in Great Britain, £10.8bn (£7.6bn net). Three things separate the two.

First, coverage. The survey's State Pension spending in Great Britain is 15% below DWP's (Table 10), because the survey under-records pension income and leaves out pensioners abroad. Since the gross saving is proportional to the number of pensioners and their entitlements, scaling it by DWP's spending gives £12.8bn. This is an adjustment, not a model run. Second, the path. DWP uses a single path; the single run closest to an OBR-consistent path is the long-term-assumption scenario above, £10.0bn for Great Britain, or £11.8bn scaled for coverage. Third, the population: DWP projects deaths, migration and contribution records, while we reweight today's survey (Section 6.4). Scaled for coverage, our figures lie about £2bn to £3bn below DWP's; DWP's unstated path, its population projection and its rounding to whole billions may account for the rest. DWP itself cautions against reading single-year point estimates from its figures, and its saving keeps growing, to £50bn in 2049-50; our horizon ends in 2039-40.

DWP also projects pensioner relative poverty after housing costs under the adjusted triple lock falling from around 14% to around 8% by 2049-50, against a poverty line projected forward with earnings. Our poverty rates (Section 5) are for 2039-40, use a line set each year from the simulated incomes, and compare the plan with the triple lock rather than with today, so they answer a different question.

Other published figures compare the triple lock with earnings uprating rather than with this plan, so they are context, not checks (Table 3). The OBR estimated that the triple lock would cost £15.5 billion a year by 2029-30 against earnings uprating since 2012 (Office for Budget Responsibility, 2025), and it projects State Pension spending to rise as a share of GDP over the long term, partly because of the triple lock (Office for Budget Responsibility, 2026b). The Resolution Foundation estimates that net spending in 2026-27 would be about £9bn lower had the pension been linked to earnings since 2012 (Curtice and Clegg, 2026). The IFS simulated, from past inflation and earnings, how uncertain the triple lock's cost is (Cribb et al., 2023). Our

backward run, the Burnham plan from April 2012, is the nearest we have to these counterfactuals; it is a different rule from earnings uprating, since it keeps the price and floor protection.

Table 3: Other published figures beside our closest figure.

Source	Their figure	Our figure	What ours measures
DWP, 2026-09	£15bn in 2039-40; one path, Great Britain	£10.8bn (£12.8bn scaled for coverage)	Expected gross saving, Great Britain
OBR, 2026-05	Triple lock is earnings + 0.6 points a year	0.55 points a year	Triple lock vs earnings on our paths, 2034–2039
OBR, 2025-07	Triple lock vs earnings link since 2012: £15.5bn by 2029-30	£7.3bn	Plan from April 2012, gross, 2026-27
Resolution Foundation, 2026-06	Earnings link since 2012: £12.6bn gross, £9bn net, 2026-27	£5.2bn	Plan from April 2012, net, 2026-27

Note: Our backward run (the plan from April 2012) keeps the protection against prices and the floor, so it saves less than earnings uprating would.

4 One path in detail

4.1 The OBR central forecast

The central path uses the OBR's March 2026 Economic and fiscal outlook (Office for Budget Responsibility, 2026a) and its long-term economic determinants after that (Office for Budget Responsibility, 2026d), which the OBR describes as a projection, not a forecast. For the Aprils 2028 to 2031 the inputs are the OBR's September-quarter CPI and April–June earnings growth; later Aprils use its calendar-year figures. The OBR forecasts average earnings on a national-accounts measure, which stands in here for May–July average weekly earnings. April 2027's State Pension rise uses the published May–July 2026 earnings growth, 3.9%, and August 2026 CPI, 3.1%, in place of September's, which ONS publishes on 21 October 2026. Other benefits and tax thresholds are uprated in April 2027 by the model's 2026 CPI forecast, 2.3%. Both rules share these inputs.

Earnings grow by less than 2.5% for several years, so the floor sets the triple lock in April 2028, 2029, 2030 and 2031; from April 2032 earnings lead every year (Figure 4). The two rules differ in two years, April 2032 and 2033: after the floor years the plan rises only by the floor, or by what brings it back to its earnings path, while the triple lock rises with earnings from the higher level. By 2039-40 the full new State Pension is £18,712 a year under the triple lock and £18,639 under the plan, and the plan saves £0.9bn (£0.6bn net).

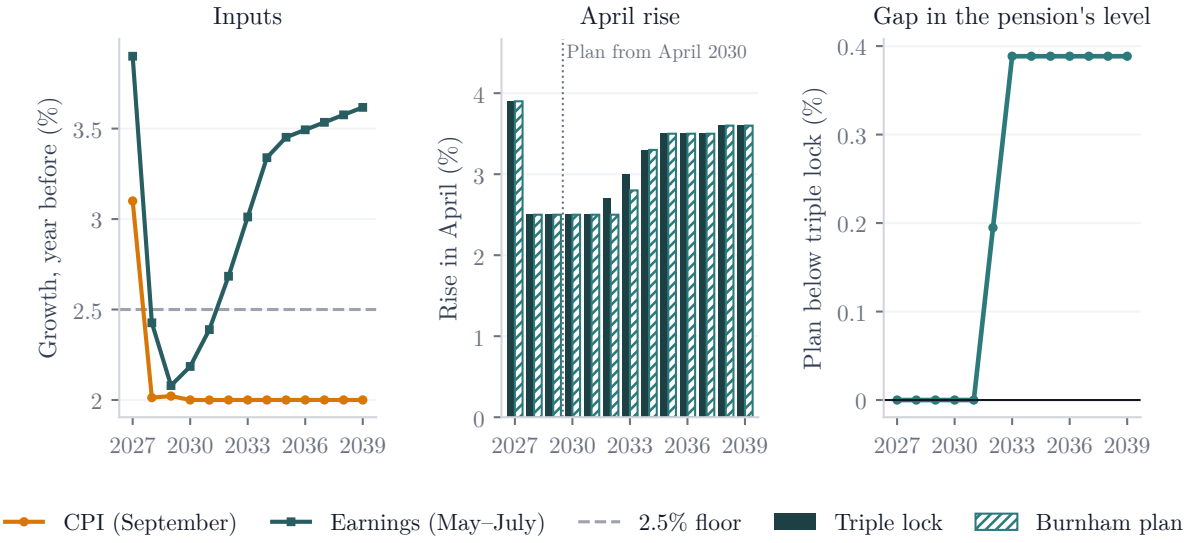


Figure 4: On the OBR central forecast the floor sets the early rises, and the plan differs from the triple lock in only a few Aprils. Left: the inputs behind each April's rise. Centre: the April rise under each rule (the plan hatched); the dotted line marks the switch. Right: how far the plan's full new State Pension sits below the triple lock's.

4.2 Simulated paths

The simulated paths come from a monthly model of prices and earnings, shifted so that their average matches the OBR's forecast (Section 6). Figure 5 shows how far apart the two rules end on three paths, and Table 4 what each saves. The typical path, whose final-year gap is near the median across paths, saves £10.3bn in 2039-40 (£7.4bn net); its gap is 7% below the average, so its saving is a little below the expected saving. The high-saving path, at the 90th percentile, saves £18.5bn. Each is one path the model makes, not a forecast. Most of a path's saving comes from a few years of high inflation or weak earnings, after which the gap stays.

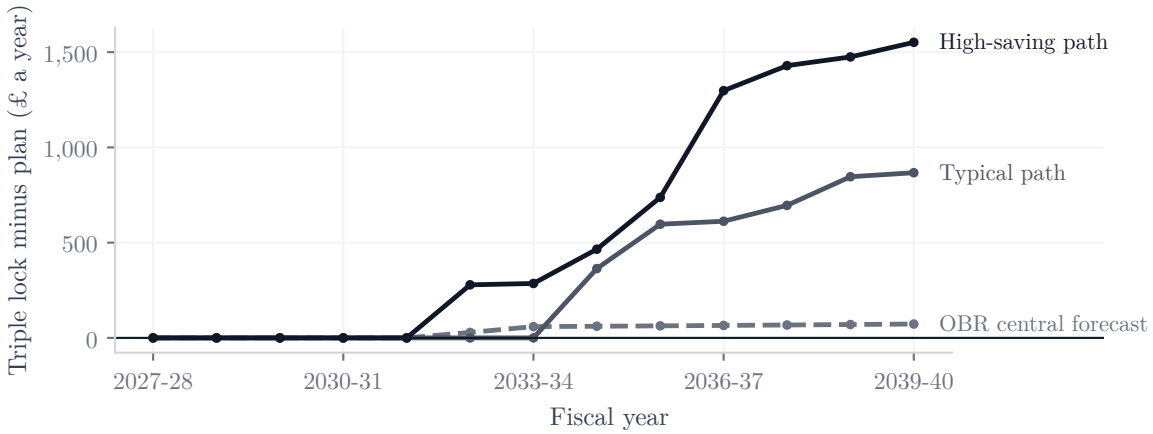


Figure 5: On simulated paths the gap opens in a few steps and then persists. How far the Burnham plan's full new State Pension ends below the triple lock's on each path shown, £ a year.

Table 4: The paths shown, in the final year: the full new State Pension under each rule, the saving (full model runs) and the average loss among households with less income than under the triple lock.

Path	Triple lock (£ a year)	Burnham plan (£ a year)	Gross (£bn)	Net (£bn)	Average loss (£ a year)
OBR central forecast	£18,712	£18,639	0.86	0.62	£69
Typical path (near the median gap)	£18,779	£17,912	10.31	7.42	£822
High-saving path (90th percentile)	£20,403	£18,852	18.46	12.88	£1,437

Note: On every path about the same share of households has less income.

5 Households

The household results run the typical path through PolicyEngine UK for the whole survey population, once under each rule. Every pensioner's State Pension is recalculated, and with it their income tax, Pension Credit, Housing Benefit, council tax reduction and Winter Fuel Payment. Because the typical path's gap is a little below the average, cash and percentage changes in income on it are a little below their expected values; they scale roughly in proportion to the gap. Poverty rates do not scale simply, so we also report them on the OBR central forecast and the high-saving path.

5.1 From gross to net

Table 5 follows the gross saving on the typical path to the net saving. In 2039-40 extra Pension Credit offsets £0.61bn of the £10.31bn gross saving and lower income tax £2.13bn, leaving £7.42bn net, 72% of the gross. The net figure counts direct taxes and benefits only, with no change in behaviour. It leaves out VAT and other indirect taxes on pensioners' lower spending, which would make it smaller. Council tax reduction falls on local authorities and part of the income tax on the Scottish and Welsh governments; the table shows each offset separately.

Table 5: From gross to net on the typical path in the final year, £ billion.

	2039-40 (£bn)
Saving on the basic and new State Pension (gross)	10.31
Extra Pension Credit	−0.61
Extra Housing Benefit	−0.11
Extra council tax reduction	−0.02
Extra Universal Credit	0.00
Extra Winter Fuel Payment	−0.01
Less income tax	−2.13
Everything else (other taxes and benefits)	−0.01
Saving net of direct taxes and benefits	**7.42**

Note: Each offset is signed so the column adds up to the net saving.

5.2 Who has less income

Averaged over all paths, 27% of UK households have at least £1 a year less income than under the triple lock in 2039-40. The share is about the same on every path, because it is set by who receives a State Pension; the size of the loss is not. On the typical path those households have £822 a year less on average, against £69 on the OBR central forecast and £1,437 on the high-saving path. On the typical path single pensioners lose 1.1% of their income on average and pensioner couples 1.5%.

Figure 6 ranks households by equivalised household net income under the triple lock, with each decile holding a tenth of people. Relative to income, the change is largest in the 2nd decile, at 0.77% of income. The lowest decile probably loses less because more of its pensioners are on the Pension Credit guarantee, which makes up a lower pension pound for pound; higher deciles lose less as a share, probably because the State Pension is a smaller part of their income.

On the OBR central forecast, where the pension gap is small, no poverty measure changes by more than 0.04 percentage points. On the typical path pensioner poverty after housing costs is 0.62 points higher on the absolute measure and 0.81 points higher on the relative one, and on the high-saving path up to 1.91 points higher (Table 6). Poverty among everyone changes much less. The relative line is 60% of median income in each run, so it is itself a little lower under the plan; on the high-saving path this lowers relative poverty among everyone. Pension Credit makes up much of a lower pension for pensioners on the guarantee, but not for those just above it.

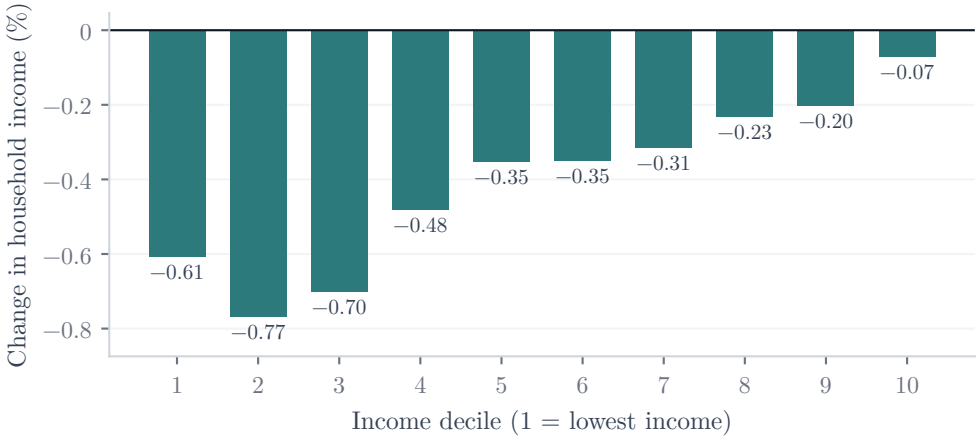


Figure 6: The loss is largest, relative to income, in the lower-middle deciles. Change in household income under the Burnham plan against the triple lock, % of income, on the typical path in the final year, by decile of equivalised household net income under the triple lock (each decile holds a tenth of people).

5.3 Example pensioners

Four hypothetical pensioners, run as households under each rule on the typical path, show how tax and benefits pass on a lower State Pension (Table 7, Figure 7). Each receives the full flat-rate State Pension and, unlike the survey runs, claims every benefit it is entitled to. A lower State Pension means less income tax for a pensioner above the personal allowance and more Pension Credit for one entitled to it; Pension Credit counts income after tax (State Pension Credit Regulations, 2002), and council tax reduction disregards the income of a pensioner receiving

Table 6: Poverty after housing costs in the final year: share of people in households below the line, %, and the change under the Burnham plan, percentage points.

Measure	Triple lock (%)	Burnham plan (%)	Change, typical (points)	Change, OBR central (points)	Change, high-saving (points)
Pensioners, absolute	9.73	10.35	0.62	0.04	1.91
Pensioners, relative	13.00	13.81	0.81	0.03	0.96
Everyone, absolute	18.17	18.30	0.14	0.01	0.41
Everyone, relative	21.20	21.22	0.02	0.00	−0.42

Note: Levels are on the typical path.

the guarantee credit (Council Tax Reduction Schemes (Prescribed Requirements) (England) Regulations, 2012). In 2039-40 the share of the lower pension that reaches income is 50% for (a), 80% for (b), −5% (income rises) for (c) and 21% for (d).

Thresholds explain the differences. The Pension Credit guarantee rises with earnings, and tax thresholds with CPI. Under the triple lock the pension runs ahead of earnings and stays above the guarantee after tax; under the plan it does not, so by the late 2030s a pensioner with only the full new State Pension (a) is above the guarantee before tax but below it after tax, and receives a little guarantee credit in some years (2035-36 onwards, though not every year), with more council tax reduction. In those years more of the lower pension is made up, which is why the line in Figure 7 moves from year to year. The pensioner with a private pension (b) keeps a Winter Fuel Payment under the plan in 2036-37, because the lower pension leaves their income below the payment's income threshold. The council tenant (c) is better off under the plan in 2039-40: guarantee credit brings maximum Housing Benefit and full council tax reduction, and together with less income tax these more than make up the lower pension. The older pensioner on the basic State Pension (d) is on the guarantee under both rules, which makes up the lower pension in full, but loses £141 of savings credit.

Table 7: Example pensioners on the typical path in the final year: the change in each item of income under the Burnham plan, £ a year (a positive figure adds to income).

	(a)	(b)	(c)	(d)
State Pension	−£867	−£867	−£867	−£664
Income tax (less paid)	£173	£173	£173	£0
Pension Credit	£113	£0	£113	£523
Housing Benefit	£0	£0	£475	£0
Council tax reduction	£146	£0	£146	£0
Winter Fuel Payment	£0	£0	£0	£0
Income after tax and benefits	−£434	−£694	£41	−£141
Share of the State Pension fall that reaches income	50%	80%	−5% (income rises)	21%

Note: The last row is the change in income after tax and benefits as a share of the change in State Pension. The examples: (a) single pensioner aged 70, State Pension only, owns their home; (b) single pensioner aged 70 with a £15,000 private pension, owns their home; (c) single pensioner aged 70, State Pension only, rents from the council at £120 a week; (d) single pensioner aged 90 on the old basic State Pension, rents from the council at £120 a week.



Figure 7: Benefits make up a varying share of the lower pension, depending on where each pensioner sits against the Pension Credit and other thresholds. The change in State Pension under the Burnham plan (bars) and in income after tax and benefits (line), £ a year, on the typical path.

6 Method

6.1 Model and data

Every fiscal and household figure is a full run of PolicyEngine UK (PolicyEngine, 2026a,b) on the whole survey population, once under each rule; nothing is scaled from another run. All runs use one release: policyengine 6.2.6, which pins policyengine-uk 2.125.1 and is published with the Enhanced Family Resources Survey for 2024-25, release 1.58.0 (52,846 households). A path's CPI and earnings growth replace the model's economic assumptions before the data load, so benefit rates, tax thresholds and earnings follow it, and every run checks that they do. Only the basic and new State Pension differ between the two runs of a path. Under both rules the additional State Pension rises with September CPI and State Pension age follows the law's timetable. The Pension Credit guarantee rises with May–July earnings, the minimum section 150A requires, under both rules. If it instead rose by the same percentage as the State Pension under each rule, it would be lower under the plan, the Pension Credit offset would be smaller and the net saving larger. Money is in cash terms for the UK unless stated.

6.2 Paths of prices and earnings

The paths come from a model of monthly changes in the CPI index (Office for National Statistics, 2026d) and in average weekly earnings (Office for National Statistics, 2026a), fitted to data from 2000 to the latest published month, with the furlough months of 2020–21 left out. Each month's change depends on the previous month's changes in both series, with fixed coefficients; the shocks are past pairs of residuals drawn at random, so prices and earnings keep their joint variation, but the model has no periods of higher or lower volatility and no uncertainty about its coefficients. From the simulated months come both the statutory inputs (September CPI, May–July earnings growth) and the calendar-year growth the rest of the model uses. Every path is then shifted by the same smooth drift so that the average matches the OBR's forecast in every year, while each path keeps its own ups and downs. The shift moves averages, not variances. The statutory inputs, built from the same months, can sit slightly off the OBR's quarterly figures before the switch.

Between 2011 and 2025 the lead between CPI and earnings changed hands 0.33 times a year in the inputs that set the April rises, with April 2022 as in law. Replayed on the model's paths from 2011, the realised gap between the two rules over those years falls at the 56th percentile of the model's range. The model was fitted on data covering those years, so this is a consistency check, not a test.

6.3 Averaging over the paths

The model makes 50,000 paths, and the rules give each path's gap in the full new State Pension in 2039-40 before any model run. 0.8% of paths never differ between the rules and save nothing (two of them are run as a check). The rest are split into ten groups of equal size by that final-year gap, and 160 paths drawn across the groups, more where the gap varies most (Neyman, 1934), are run in full. The expected saving weights each group's average by its share of the paths, and its standard error comes from the spread within groups. Because the groups are formed on the final-year gap, precision is highest in that year.

Across the full runs the 2039-40 gross saving is exactly proportional to that gap (Figure 8): £0.62bn for each £1 a week, with every run within £0.00bn of the line. The population and its weights do not depend on the path, and both rules move every flat-rate pension by the same percentage, so this is arithmetic rather than a fitted relation: it amounts to 11.9 million recipients of the full rate. The net saving is close to proportional, at £0.44bn for each £1 a week. Applied to the average gap over all 50,000 paths, the gross ratio gives £11.08bn, within sampling error of the expected saving, and it gives the reweighted figures in Table 8. The full runs remain necessary for the net saving, the years before the last and the effects on households.

6.4 The population in each year

The survey is a sample of households in 2024-25. Each record stands for a person of its age in every year. After 2025, the year the data release calibrates to, household weights are reweighted so that each age and sex group grows as in the ONS's 2024-based population projection (Office for National Statistics, 2026e). Survey ages are top-coded at 80; records at the top code are spread across ages up to 105 in line with ONS single-year shares. Each person's State Pension type follows from their date of birth: those who reached State Pension age before 6 April 2016 are on the basic State Pension, later cohorts on the new one (Pensions Act, 2014). A record that moves from the basic to the new State Pension in this way keeps its reported amount, split at

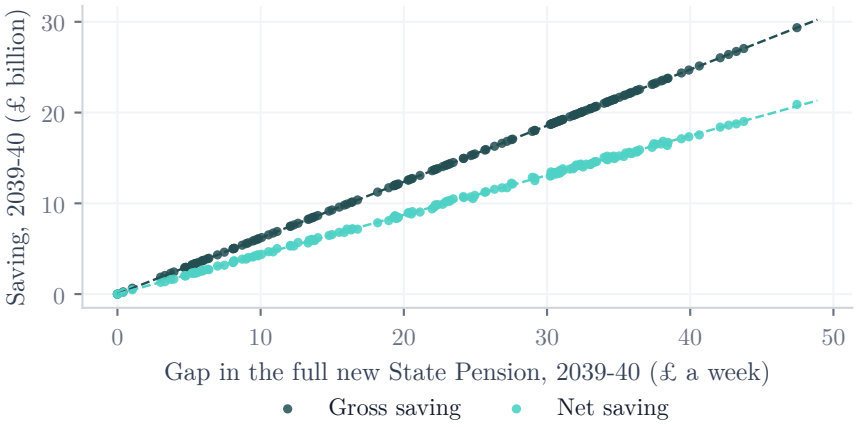


Figure 8: Every full run's final-year saving lies on a straight line through zero in the gap: gross saving is the gap times the number of full-rate-equivalent pensioners. Gross and net saving in the final year against the gap in the full new State Pension, one point per run; dashed lines through zero.

the new flat rate; it is not raised to the full rate. Deaths, migration and contribution histories are not simulated. This, with under-recording in the survey, explains why survey State Pension spending is below DWP's.

6.5 Testing the model on past forecasts

An expected saving needs a model whose paths behave like the real inputs. We compared five versions of the model of prices and earnings on past OBR forecasts (Office for Budget Responsibility, 2026c) and fixed the pass rule before seeing any results. Each version is fitted only on data available before each forecast and centred on that forecast, and is scored on the gap between earnings and CPI in each year and on the gap the two rules open after four rises. A version passes if, on both a test of six forecasts from 2016 to 2021 and one of 12 from 2010 to 2021: between 50% and 100% of outcomes, yearly and after four years, fall inside its central 80% band; the range of plausible coverage after four years includes 80%; its average error in the yearly gap is at most 1.5 points, in how often the lead changes at most 1.0 a forecast, and in how often the floor binds at most 0.25; no accuracy score is more than 25% worse than the main version's; and the realised gap since 2011 lies between its 5th and 95th percentiles. April 2022 is scored as the law applied it, with the earnings leg suspended.

In a run on today's data the main version passes: on the shorter test the outcome fell inside its band in four of six final years and 80% of annual checks (Table 11). Four of the five versions pass. The annual version, with the same coverage, fails because its score for the timing of lead changes is 28% worse than the main version's.

The test has little power. With six overlapping four-year windows, a model whose bands cover far less than 80% could still pass, so passing shows only that the model is not clearly wrong. An earlier version of the test, which scored April 2022 on the published earnings, failed every version, each with only one of six final years inside its band, because the furlough schemes distorted 2021 pay growth. We changed it after seeing those scores, on the grounds that the law suspended that year's earnings leg, and report both; the change means the test should carry less weight. We will repeat the test on the forecast published with the 28 October 2026 Budget. If the model fails, we will withdraw the expected saving and report only the single scenarios in

Table 2.

6.6 Code and data

The results were built at revision 8838fd4 of the PolicyEngine/uk-triple-lock repository, with policyengine-core 3.33.0, and are read from its results file, which holds no survey record's identifier, weight or amount.

7 Limitations

One reading of the plan. The saving rests on anchoring the plan to the pension's ratio to earnings in 2029-30. An anchor that moves up with each new high would reproduce the triple lock.

One model of prices and earnings. The expected saving and its spread are conditional on one model of monthly CPI and earnings. Reweighting to past volatility moves the gross figure by up to £2.5bn; other models could move it more.

No suspensions. The triple lock is applied every year. Parliament suspended its earnings leg once, for April 2022; a future suspension in a year of high earnings growth would lower the triple lock's cost and so the plan's saving.

The OBR's long-term path. After 2030 the central path follows the OBR's long-term projection, which the OBR describes as not a forecast.

Population reweighted, not aged. Later pensioners' amounts come from today's records of the same age; deaths, migration and pensioners abroad are not modelled, and ages above the top code are assigned. Survey State Pension spending is 15% below DWP's, so the gross saving is probably understated.

Weights slightly low. Household weights sit 0.44% below their calibrated levels in every year, because the model uprates them by less than the data release calibrated them.

Benefits in the survey runs. Housing Benefit and council tax reduction respond only for households already receiving them, so nobody the plan makes newly entitled starts claiming them, which understates those offsets and overstates the net saving. Survey Pension Credit spending is 17% above DWP's, which probably overstates the Pension Credit offset and understates the net saving. The net direction is unclear.

Rents and other income. Rents and council tax stay at their 2030 amounts after 2030, which understates housing costs, and so poverty after housing costs and the Housing Benefit offset. Dividend, property, savings and self-employment income do not follow the path.

No behavioural response. Nobody changes how much they work, save or claim because of the plan, and indirect taxes are not modelled.

Scottish winter payment. PolicyEngine UK pays Scotland's Pension Age Winter Heating Payment at a flat household rate rather than the rates in the regulations, and has no age addition at 80; both rules share these.

8 Conclusion

The Burnham plan keeps the triple lock's protection against prices and its 2.5% floor, but gives back over time the gains of years in which prices or the floor beat earnings. Its saving therefore depends on how often the lead passes between prices and earnings, not only on their expected

growth. On the OBR's smooth central forecast the plan saves £0.9bn in 2039-40; averaged over the model's paths it saves £11.1bn in State Pension spending and £7.9bn after tax and benefits respond, with a wide spread between paths and £8.7bn to £12.0bn gross under other plausible calibrations of the model. The OBR's own long-term assumption about the triple lock implies a similar saving, and scaled for the survey's coverage our figure for Great Britain approaches DWP's £15bn.

About 27% of households, nearly all with a pensioner, have less income than under the triple lock, with Pension Credit and income tax making up part of the difference; on the typical path pensioner poverty after housing costs rises by 0.8 percentage points or less. The plan would also require a change to the statutory earnings link. The wider lesson applies to any uprating rule that takes the highest of several indices: its cost depends on how the indices vary, and costing it on a single smooth path understates the expected cost, as the OBR's long-term premium already recognises. These figures are provisional until the test on the 28 October 2026 Budget forecast.

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A Further results

Table 8: The expected saving in the final year with the paths reweighted to past variation in prices and earnings, £ billion.

Window	Treatment	Matched on	Effective runs	Gross (£bn)	Net (£bn)	Full runs reweighted, gross (£bn)
Paths as they are (used here)			160	11.1	7.8	11.1 ± 0.1
2001-2025	2020-21 left out	gap spread, lead changes	61	9.2	6.5	7.1 ± 1.8
	2020-21 left out	+ floor years	43	8.7	6.1	5.6 ± 2.0
	2022 as in law	gap spread, lead changes	67	9.1	6.4	7.1 ± 1.7
	2022 as in law	+ floor years	52	8.8	6.2	6.3 ± 1.9
	2022 as published	gap spread, lead changes	115	10.5	7.4	9.8 ± 1.2
	2022 as published	+ floor years	83	10.2	7.2	9.0 ± 1.5
2010-2025	2020-21 left out	gap spread, lead changes	118	9.9	7.0	9.1 ± 1.0
	2020-21 left out	+ floor years	90	9.7	6.8	8.5 ± 1.4
	2022 as in law	gap spread, lead changes	111	9.5	6.7	8.4 ± 1.1
	2022 as in law	+ floor years	104	9.4	6.6	8.3 ± 1.2
	2022 as published	gap spread, lead changes	141	12.0	8.5	12.4 ± 0.9
	2022 as published	+ floor years	140	11.9	8.4	12.4 ± 1.1

Note: Ready-reckoner: the reweighted average gap over all the paths times the saving per £1 a week from the full runs. Full runs reweighted: the full runs reweighted directly (± 1.96 SE), shown as a check; with few effective runs it is unstable. '2022 as in law' scores April 2022 with the earnings leg suspended, '2022 as published' on the published earnings.

Table 9: Past OBR forecasts, 2010 to 2021: the average gap the triple lock opens over the Burnham plan after four rises, predicted and realised, %, with the bias (predicted minus realised, points; standard error treating the forecasts as independent, which overstates precision) and the mean absolute error.

Scoring	Paths	Predicted (%)	Realised (%)	Bias (SE) (points)	Mean abs. error (points)
April 2022 as in law	Paths as they are (used here)	1.19	0.98	0.20 (0.45)	1.26
	Paths reweighted to past variation	0.63	0.98	−0.35 (0.41)	0.95
	Paths not shifted to the forecast	0.97	0.98	−0.01 (0.41)	1.05
	OBR forecast as one path	0.12	0.98	−0.86 (0.41)	1.01
April 2022 as published	Paths as they are (used here)	1.19	1.79	−0.60 (0.57)	1.68
	Paths reweighted to past variation	0.63	1.79	−1.15 (0.52)	1.52
	Paths not shifted to the forecast	0.97	1.79	−0.82 (0.53)	1.54
	OBR forecast as one path	0.12	1.79	−1.67 (0.54)	1.80

Table 10 compares the survey data with DWP's benefit expenditure and caseload tables (Department for Work and Pensions, 2026a).

Table 10: The survey data against DWP's Spring Forecast 2026, Great Britain, matched where DWP's tables separate payments abroad.

2026-27	DWP forecast	Enhanced FRS, Great Britain	Survey as % of DWP
State Pension spending (in GB, excluding payments abroad), £bn	£148.3bn	£125.9bn	85%
Basic and new State Pension, £bn (DWP's figure includes payments abroad)	£131.0bn	£112.1bn	86%
State Pension recipients (in GB), millions	12.15m	11.16m	92%
Pension Credit, £bn	£6.1bn	£7.1bn	117%
Pension Credit claims (benefit units), millions	1.31m	1.48m	113%
Housing Benefit (not Universal Credit housing), £bn	£12.5bn	£8.2bn	66%
Housing Benefit, pension age, £bn	£7.3bn	£7.5bn	103%
Housing Benefit claims, pension age (benefit units), millions	1.08m	1.11m	103%

Note: State Pension spending is below DWP's, so the gross saving is probably understated; Pension Credit is above it, so its offset is probably overstated.

Table 11: The test on past forecasts, run on today's data, with April 2022 scored as in law.

Version	Six: yearly	Six: final years	Twelve: yearly	Twelve: final years	Score ratio	Verdict
Monthly (used here)	80%	4 of 6	89%	10 of 12	1.00	Pass
Monthly, two lags	65%	4 of 6	73%	10 of 12	1.11	Pass
Annual	80%	4 of 6	84%	10 of 12	1.28	Fail
Monthly, heavy tails	60%	4 of 6	70%	10 of 12	1.12	Pass
Monthly, normal shocks	80%	4 of 6	89%	10 of 12	1.02	Pass

Note: Six: the six forecasts of 2016 to 2021; twelve: the twelve of 2010 to 2021. Yearly: share of yearly gaps inside each version's central 80% band; final years: four-year gaps inside it. Score ratio: the largest ratio of the version's accuracy scores to the main version's (a version fails above the limit in Section 6.5).